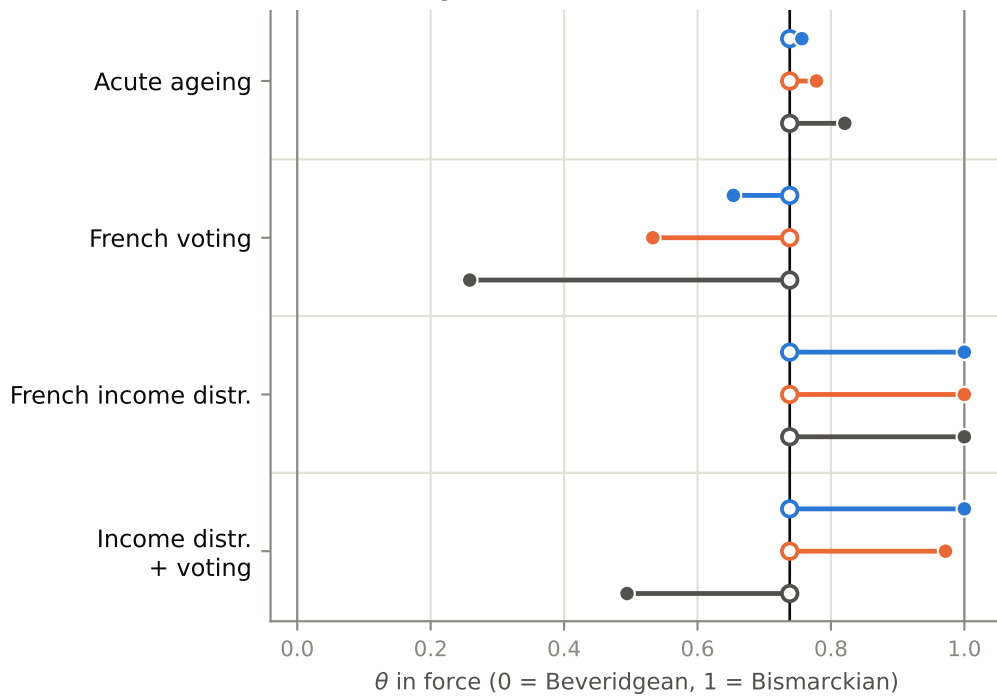
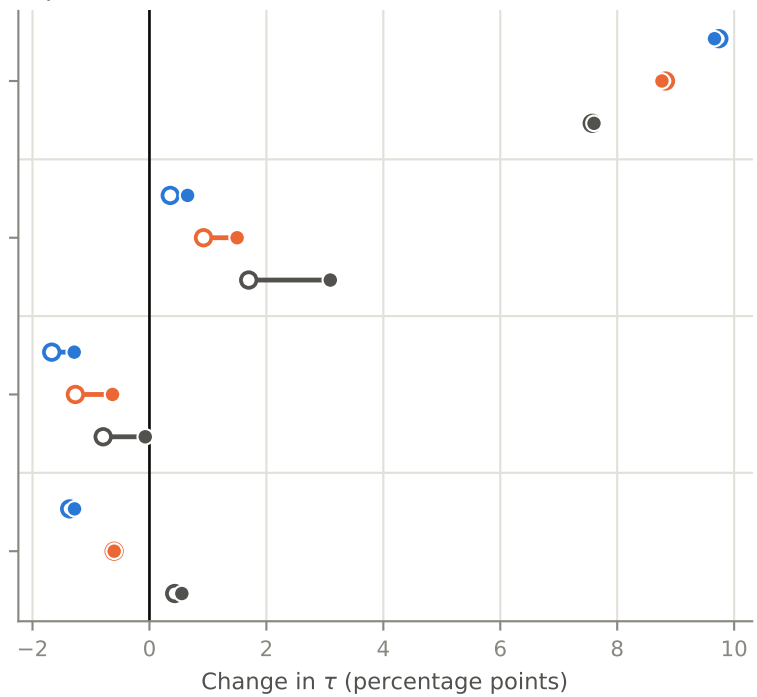


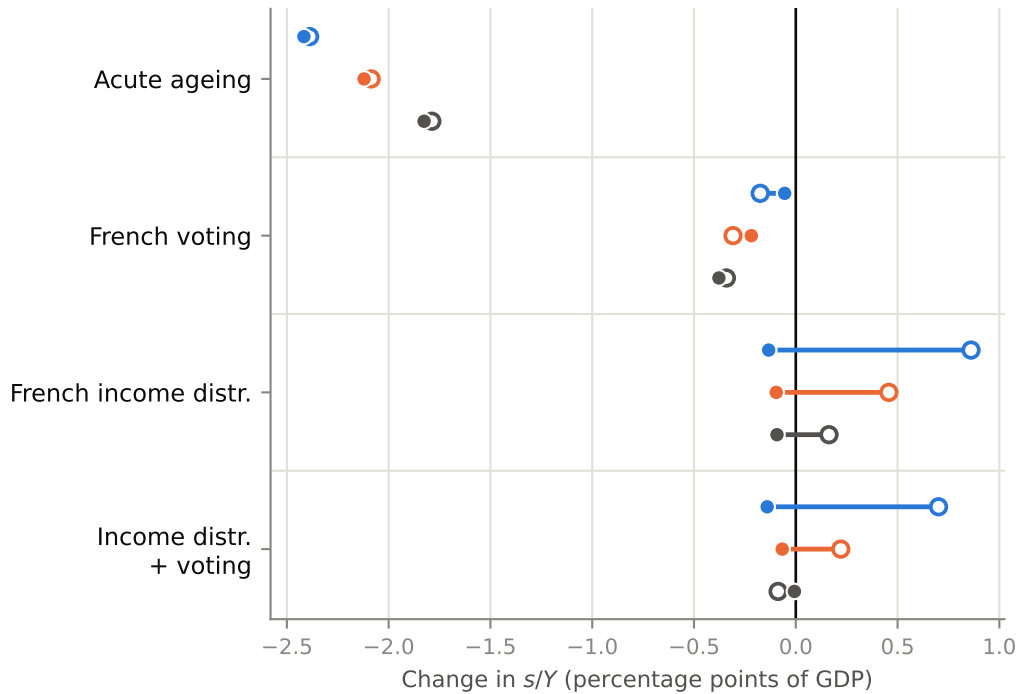
Pension design in 2020



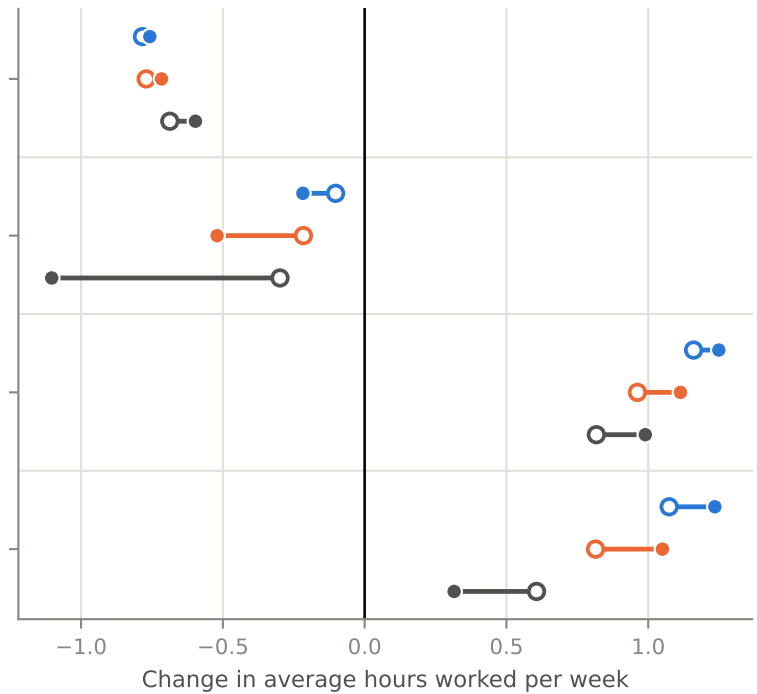
Equilibrium tax rate



Savings over GDP



Average workweek



— $\rho = 0.5$
— $\rho = 1.0$
— $\rho = 2.0$
○ θ pinned at the US design
 ● θ chosen by the electorate

Deviations from the endogenous- θ baseline, which at $\rho = 1.0$ chooses $\theta = 0.738$, a tax rate of 14.4%, savings of 15.4% of GDP and a 39.4-hour week. Savings are relative to GDP, s/Y .